

Fundamental & Co. Ltd.

Balance Sheet as at 31 March

			<i>(Rs. lakh)</i>
	<i>Latest Year</i>	<i>Previous Year</i>	<i>Movement</i>
<i>Sources</i>			
Share Capital	287.79	282.75	0.04
Reserves	3069.32	3083.37	(14.05)
Loan Funds	5058.14	3130.22	1927.92
	<u>8410.25</u>	<u>6496.34</u>	<u>1913.91</u>
<i>Application</i>			
Net Fixed assets	3434.53	3100.06	334.47
Investments	92.37	65.85	26.52
Net Current assets	4878.90	3264.68	1614.22
Misc. expenditure	4.45	65.75	(61.30)
	<u>8410.25</u>	<u>6496.34</u>	<u>1913.91</u>

The changes in Fundamental's Balance Sheet are summarized in Table 10.1, and its Sources and Uses of Funds (S & U) for the latest year ended 31 March are detailed in Table 10.2. The S & U statement shows that the company had a deficit cash flow in its latest year, and that it had to borrow Rs. 1,927.92 lakh to finance its current assets. As it had made a loss, the company paid its dividend on preference shares not out of current profits but from reserves. Further, as inventories and other current assets increased, the possibility that the company was unable to get rid of its surplus stock cannot be ignored.

Table 10.2

Fundamental & Co. Ltd

Sources and Uses of funds for the Latest Year ended 31 March

	<i>(Rs. lakh)</i>
<i>Sources</i>	
Operating Income (loss)	(139.62)
Add depreciation	160.25
Less Profit on sale of fixed assets	<u>(112.88)</u>
Operating Income (loss)	(92.25)
Other Income	247.74